

3.6 What Day 2 Established

Speakers

Marc de Hennin

Takeaway 2

Portfolio financing must match the liquidity and maturity of the underlying assets.

Takeaway 3

The central risk is a cash-flow mismatch that can force repayment or asset sales before long-term investments generate liquidity.

Lamine Brahimi

Takeaway 1

Digital assets are moving from access to portfolio integration. Client demand already exists, while most institutions still offer digital assets on an execution-only basis rather than through advisory or discretionary mandates.

Takeaway 2

Tokenization requires market participation, as well as technical infrastructure. Issuers, CSDs, regulated marketplaces, and market makers must participate in order for tokenized securities to reach scale.

Lamine Brahimi

Takeaway 3

Switzerland led the first phase of digital-asset adoption, while other financial centres have caught up. It remains strong in cryptocurrencies and on the legal framework for tokenization, while stablecoins and secondary-market liquidity are less advanced.

Day 2 panel

Takeaway 1

Several forces are changing client demand at the same time: generational transfer, technology, geopolitics, transparency, and international competition.

Takeaway 2

Growing complexity requires multi-disciplinary expertise and stronger coordination.

Takeaway 3

Switzerland's challenge is to connect its existing strengths to changing client needs, moving from protecting wealth toward better orchestration of wealth.

The central implication of Day 2 was that wealth management must increasingly focus on managing the relationships between the different components of a client's wealth, and not merely each component in isolation.

Day 2 therefore changed the question that will be carried forward into the next chapter. If wealth increasingly has to be coordinated across jurisdictions, structures, providers, and asset types, the competitiveness of a financial center depends on more than the quality of any one product. Day 3 therefore centers on whether Switzerland's current institutions, infrastructure, and specialist ecosystem can provide this coordination while competing in markets that are becoming more digital, international, mobile, and technically demanding.



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What Makes Swiss Wealth Management Distinctive Today

Day 3 was dedicated to assessing the capabilities identified in the first two chapters against the financial center as it operates today. Switzerland combines an established banking system with a digital-asset ecosystem, pension institutions, independent managers, and specialist financial infrastructure. The interviews revealed the same practical question in different forms: Can durable institutions absorb new technologies and market structures without losing the disciplines that made them credible? There was no consensus on how much adaptation Switzerland requires. Some emphasized regulatory momentum, access to capital, and entrepreneurship, while others placed greater value on consistency and specialization. This chapter therefore avoids defining Swiss distinctiveness through a single technology, regulatory advantage, or service model. It examines whether Switzerland can continue combining trust, specialist expertise, long-term horizons, institutional infrastructure, and innovation as international competition increases.



4.1 The Development of Switzerland's Digital-Asset Ecosystem

Sheraz Ahmed and Jérôme Bailly traced the development of Crypto Valley to the establishment of the Ethereum Foundation in Zug, with Ahmed situating this event within a broader technological movement. Cypherpunk ideas had existed for decades and fintech companies were already transforming financial services. Ahmed identified Zug's openness to the Ethereum Foundation in 2013 as a key condition for Switzerland's emergence as a crypto hub, while Bailly identified the Ethereum ICO in the summer of 2014 as the decisive starting point. Officials in Zug were receptive, local lawyers proposed establishing a Swiss foundation, and developers, lawyers, tax specialists, and financial experts formed an ecosystem around the project.

Bailly describes 2018–2020 as the golden age of Crypto Valley. Political support extended to the Federal Council, FINMA was supportive, and several cantons encouraged the sector. Switzerland also introduced DLT legislation. In contrast, Bailly sees the environment today as more difficult. Competition from the United States, the Middle East, and Asia has increased, while political and regulatory support within Switzerland has softened. He wants to restore coordination among the industry, regulators, and political authorities, bringing Swiss banking into this alignment.

Ahmed gave the ecosystem's resilience a human dimension, as he described the early willingness to support entrepreneurs and the voluntary commitment that still sustains associations and decentralized communities. Participants contribute on the basis of their curiosity, passion, and a shared vision, as well as their professional interests. Bailly described resilience across market cycles: The Crypto Valley Association remained active through three bear markets and its current membership is close to its historical peak.

Crypto Valley has also developed distinct regional centers. Ahmed argued that local communities reflect the institutions and organizations already present in each region. Lugano is influenced by Tether, Neuchâtel by Bitcoin and cypherpunk communities, and Geneva by wealth management and international institutions. Bailly added Zurich to the list, where the concentration of Swiss banking has become increasingly important as digital assets move towards institutional adoption. These regions all contribute different capabilities to the broader Swiss ecosystem.

Bailly sees closer integration with Swiss banking as the next stage. The Crypto Valley Association is connecting crypto-native companies with banks and adapting its communication to an institutional audience. Ahmed identified education as an ongoing requirement. The digital-asset industry must keep learning as technologies and use cases evolve, as well as help traditional institutions understand these developments. Looking toward 2035, Ahmed expects digitally native assets, products, and use cases to become more familiar, as younger generations who were raised with digital technology enter the workforce. He also expects demand for human interaction to remain significant. Bailly laid out a specific objective for Switzerland: Combine the crypto ecosystem with Swiss banking and bring the industry, regulators, and political authorities that supported Crypto Valley's earlier leadership back into alignment.

4.2 Financial Convergence and Swiss Standards in Innovation

Ilya Volkov described crypto as an evolution in finance rather than a separate financial system. Crypto-native firms have added banking, payments, and traditional financial rails, while established financial institutions have added crypto services. From his perspective, these

developments represent different routes toward an increasingly integrated financial market. Crypto-native firms can accelerate this convergence by providing technology that allows traditional institutions to add crypto services under their own brands.

Volkov expects the underlying payment infrastructure to become less visible to users. A given transaction could use blockchain, card networks, SWIFT, SIC, or another rail without the customer needing to know which system processed it. He distinguished this question about infrastructure from the issue of investment exposure. Blockchain payments, cryptocurrency holdings, and asset trading serve different purposes and give rise to different risks. The relevant analysis should therefore begin with the use case.

Volkov applied the same principle to regulation, supporting rules that address fraud, scams, market manipulation, and investment risk. He argued that established investment principles can often be applied to blockchain investments without creating entirely new regulatory concepts. His criticism is directed at requirements that, in his view, impose costs without addressing the underlying investment risk. He cited MiCA carbon-emissions disclosures for tokens as an example, because YouHodler is required to purchase external measurements that he does not consider relevant to investment risk.

Volkov contrasted this approach with that of Switzerland, which he described as more practical and supportive of innovation. His comparison with the European Union emphasizes proportionality: regulation should address identifiable risks and its results should be measured against its costs. He sees Switzerland's approach as an advantage and, if it remains in place, considers the country a potential site for the convergence of traditional finance and crypto.

Volkov also expects centralized and decentralized finance to coexist. His concept of Web3 banking enables users to hold assets on-chain under their own control and access banks or fintech companies when they need lending, trading, or exchange services. Technology can also divide key control among the user, service provider, and a trusted third

party, reducing dependence on any single party while preserving recovery options.

For Volkov, the appropriate combination of centralized and decentralized finance depends on the customer's needs. Users can retain control of their assets or entrust them to an institution, provided that the corresponding risks and responsibilities are clear. He also expects AI agents to play a role in payments and financial services in the future. His broader argument was one of convergence: Crypto, traditional finance, centralized services, and DeFi are becoming components of a broader financial system. Technology is expanding the available infrastructure and service models; customer needs and the risks associated with each use case determine how they should be applied.

4.3 Long-Term Institutional Investment and Sustainability

Graziano Lusenti and Olivier Ferrari examined Swiss institutional investment through the lens of pension regulation, investment horizons, sustainability, independence, and client needs. Lusenti identified the LPP, introduced in 1985, as the framework that established investment standards for Swiss pension funds. He considers it to be robust across different market conditions, while accepting that it can be improved.

Ferrari situated the law within a longer history of occupational pensions. His central point concerns investment horizons. Since pension institutions exist to meet future obligations, investment policy should reflect their current position, membership, and expected development. Different assets can therefore require different horizons: real estate may be held for decades, equities for a number of years, and bonds for shorter periods of time. Ferrari criticized the shortening of institutional investment horizons on the grounds that it weakens this link between assets and long-term obligations.



The same horizon-based reasoning shaped their discussion of sustainability. Lusenti defined ESG through environmental, social, and governance considerations, placing particular weight on governance. Ferrari argued that environmental investments should be assessed against an institution's commitments and time horizon. He also sees environmental change as creating investment opportunities in technology, energy, and the real economy. His ONE CREATION cooperative applies this approach by investing in impact companies and environmental technologies, with each member receiving a single vote regardless of their wealth.

In their discussion of independence, they returned to the investor. Lusenti described Swiss occupational pensions as a larger and more specialized market than in earlier decades. The combination of their firms was a response to that development. For his part, Ferrari emphasized their decision to remain independent rather than to sell to a bank or insurer. He argued that asset management should begin with the investor's needs rather than with products a provider wants to sell.

This principle also governs portfolio construction. Clients may place different weights on performance, risk, costs, or sustainability. The adviser's role is to build around those preferences. Looking ahead, both speakers connected Switzerland's position to institutional stability, education, and specialist expertise. Ferrari also identified a weakness: Innovative Swiss companies often obtain growth capital abroad. Their discussion thus linked Swiss institutional strength to a practical discipline, matching investments to obligations and client needs, while arguing that the country must retain the companies and expertise that can support future growth.

4.4 The Role of a Crypto Bank

Fabian Dori described a digital-asset bank as a regulated bridge between traditional finance and digital assets. Sygnum's original premise was that professional and institutional investors lacked a regulated, institutional-grade value chain through which to access this asset class. Today, specialized digital-asset banks also provide traditional institutions with infrastructure and compliance processes for custody, trading, lending, and tokenization. Dori welcomes the entry of traditional banks into the market and sees cooperation as a way to expand institutional access.

Specialization remains important because digital-asset markets are in continuous operation. Custody, trading, liquidity, and lending may need to be take place around the clock, including margin calls outside conventional banking hours. Operating continuously therefore requires the entire value chain—processes, technology, and liquidity—to function on a 24/7 basis.

Institutional demand is also changing. Professional investors were initially drawn to digital assets partly because they were pursuing short-term returns and exposure to Web3, the metaverse, and on-chain gaming. According to Sygnum's survey, diversification and portfolio resilience have become more important motivations, with investors seeking out assets that bring different value and risk drivers. However, barriers remain, including limited knowledge, compliance requirements, and questions about the maturity of custody and liquidity infrastructure.

Dori argued that digital assets should be analyzed by use case. He distinguished Bitcoin as a digital alternative store of value, stablecoins and the smart-contract platforms that enable them as an alternative means of payment, and digital assets as infrastructure for a future agentic, decentralized economy. Each has different value and risk drivers. Understanding the specific exposure is therefore essential to investment analysis.

Dori also expects centralized and decentralized finance to coexist. Direct DeFi access suits investors who are willing to assume greater responsibility, while intermediated access can provide protocol assessment and institutional-grade custody. Banks still face KYC, AML, and transaction-monitoring constraints before interacting directly with DeFi platforms.

Switzerland provided an early foundation for this development. Dori points to developing regulatory guidance in 2018 and 2019, an established financial industry, and an entrepreneurial population. Looking ahead, he sees digital-asset banks retaining a specialist role: advancing innovation, contributing regulatory expertise, and providing secure, scalable infrastructure to the broader banking industry. As traditional and digital-asset banks expand towards each other, specialization remains the foundation for that role.

4.5 The Swiss Wealth-Management Model: Where We Stand and Where We Go Next

The Day 3 closing panel examined how Switzerland can preserve its competitive position as other financial centers accelerate, with the speakers identifying several established strengths. Graziano Lusenti pointed to political stability and economic development. Jérôme Bailly linked the success of Swiss crypto to trust, stability, and financial and regulatory innovation. Ilya Volkov described Switzerland as open, well organized, and well suited to businesses operating across industries and countries. To these, Fabian Dori added talent, wealth-management expertise, and innovation. The main point of contention between the speakers was where Switzerland now needs to adapt.

Bailly and Volkov identified growing competitive pressures. Bailly claimed that Switzerland is less attractive to crypto entrepreneurs than when the authorities, FINMA, and the industry were more closely aligned,

while Volkov argued that Switzerland must continue making decisions that sustain the advantages created in the past. In his view, immigration and future crypto regulation are factors that can affect entrepreneurship. Lusenti raised another concern: Switzerland's capital market is small relative to the United States, the European Union, and China. Successful Swiss companies can therefore be acquired early by larger foreign groups. Ahmed placed greater emphasis on continuity, arguing that Switzerland should respond to competitive cycles by compounding its durable advantages—legal certainty, decentralized institutions, specialist expertise, and international trust—while continuously adapting the way in which these strengths are applied.

Entrepreneurship and talent also shape competitiveness. Ferrari argued that universities should expose students more directly to entrepreneurship and smaller companies. For his part, Ahmed pointed to difficulties in retaining foreign graduates trained in Switzerland, describing blockchain and AI as technologies that can strengthen existing industries. Volkov identified intellectual-property rights as another opportunity. Although Switzerland has limited capacity to host the large data centers required by AI companies, its legal environment can attract their headquarters, capital, and intellectual property.

Switzerland's size influences where it can compete. Lusenti made the case that a country of nine million people should concentrate on high-value products and services. Volkov reached a similar conclusion by drawing a distinction between quality and quantity. Switzerland can attract headquarters, capital, and intellectual property without hosting the largest operations. Bailly applied the same approach to digital assets, advocating for stronger links between crypto entrepreneurs and Swiss banks. More than thirty banks already offer or are adopting digital assets, providing experience that can support further integration.

The final exchanges linked innovation to the conditions that underpin Switzerland's competitiveness. Client proximity remains important as AI changes how advisers work. Education, digital-asset experience, and technological capabilities provide a foundation for further development. Consistency and decentralization contribute to institutional stability,